

CIBIL Score Impact

Insight: Borrowers with CIBIL scores below 620 exhibit nearly ten times higher default odds than those above 750.

Recommendation: Strengthen credit underwriting for low-CIBIL segments and enforce stricter approval thresholds.

Portfolio-Level Default Rate

Insight: The overall default rate of approximately 6.48 percent reflects moderate but material credit risk.

Recommendation: Establish early-warning indicators and segment-level risk triggers to avoid further deterioration.

Age-Based Risk Pattern

Insight: Borrowers aged 21–30 show the highest concentration of delinquencies.

Recommendation: Apply conservative credit limits and enhanced income verification for younger borrowers.

Affordability Stress (EMI-to-Income)

Insight: Customers with EMI-to-income ratios above 45 percent exhibit elevated repayment stress.

Recommendation: Introduce stricter affordability criteria and cap EMI-to-income ratios at 35–40 percent.

Thin-File Customer Behavior

Insight: Borrowers with limited or no credit history default more frequently than seasoned borrowers.

Recommendation: Incorporate alternative data sources in underwriting.

High-Ticket Exposure Concentration

Insight: The top 20% of high-ticket loans contribute to nearly 60% of total risk exposure.

Recommendation: Apply deeper credit assessment and periodic monitoring for large-ticket borrowers.

Repeat Borrower Performance

Insight: Repeat customers display lower default rates compared to first-time borrowers.

Recommendation: Offer loyalty-based credit enhancements and prioritize retention of low-risk repeat clients.

Seasonal Default Spikes

Insight: Defaults increase notably during festival or seasonal periods.

Recommendation: Deploy proactive collection reminders and flexible repayment options during these periods.

Channel-Based Risk Variation

Insight: Digital-sourced applications default at a higher rate than branch or agent-driven applications.

Recommendation: Strengthen digital KYC, fraud checks, and document validation for online applicants.

Multiple Credit Line Stress

Insight: Borrowers with several active credit lines show higher delinquency probability.

Recommendation: Use bureau cross-checks to limit overall exposure and identify rising borrower leverage.

